This entire taxing plan rests on a statutory formula for fixing situs of intangible property both within and without the State. This is provided by § 5328–2 of the Code. These intangibles "shall be considered to arise out of business transacted *in a state other than that in which the owner thereof resides*" under certain circumstances. (Emphasis supplied.) This basic rule separates the situs of intangibles from the residence of their owner whereas it has traditionally been at such residence, though with some exceptions. The effect is that intangibles of nonresident owners are assigned a situs within the taxing reach of Ohio while those of its residents are assigned a situs without. The plan may be said to be logically consistent in that, while it draws all such intangibles of nonresidents within the taxing power of Ohio, it by the same formula excludes those of residents. The exempted intangibles of residents are offered up to the taxing power of other states which may embrace this doctrine of a tax situs separate from residence. This is what is meant here by reciprocity, and the two provisions are declared inseparable; so that if the formula by which Ohio takes unto itself the accounts of nonresidents is held invalid, "such decision shall be deemed also to affect such provision as applied to property of a resident."

It is hard to see that this offer of reciprocity restores to appellants any of the equality which the application of the Ohio tax, considered alone, so obviously denies. There is no indication of a readiness by other states to copy Ohio's situs scheme so as to tax that which Ohio exempts. The proffered exchange of residents for intangible tax purposes may not commend itself as an even bargain between states. Ohio, being large, populous and highly industrialized, with heavy and basic industries, may well have much more to gain from a plan the effect of which is to tax credit exports to other states, than most states would have from a privilege to tax its own

exports into Ohio. In the several years that the Ohio statute has been on the books, no other state has sought to take advantage of the "reciprocity" proffer. And if it did, the equality of rates which would also be necessary to equalize the burden between nonresidents and their resident competitors could be hardly expected nor is it provided for. Far from acceding to the situs doctrine which allocates these receivables to Ohio, the State of West Virginia stands on the very different situs doctrine approved by this Court in *Wheeling Steel Corp.* v. *Fox,* 298 U. S. 193, and under its authority has for the year in question taxed *all* of the receivables of the Wheeling Company, including those Ohio seeks to claim as having situs in Ohio. It is clear that this plan of "reciprocity" is not one which by credits or otherwise protects the nonresident or foreign corporation against the discriminations apparent in the Ohio statute. We think these discriminations deny appellants equal protection of Ohio law.

The judgments are reversed and the causes remanded for proceedings not inconsistent herewith.

Reversed.

By MR. JUSTICE JACKSON.

The writer of the Court's opinion deems it necessary to complete the record by pointing out why, in writing by assignment for the Court, he assumed without discussion that the protections of the Fourteenth Amendment are available to a corporation. It was not questioned by the State in this case, nor was it considered by the courts below. It has consistently been held by this Court that the Fourteenth Amendment assures corporations equal protection of the laws, at least since 1886, *Santa Clara County* v. *Southern Pacific R. Co.,* 118 U. S. 394, 396, and that it entitles them to due process of law, at least since 1889, *Minneapolis & St. L. R. Co.* v. *Beckwith,* 129 U. S. 26, 28.

It is true that this proposition was once challenged by one Justice. *Connecticut General Co.* v. *Johnson,* 303 U. S. 77, 83 (dissenting opinion). But the challenge did not commend itself, even to such consistent liberals as Mr. Justice Brandeis and Mr. Justice Stone, and I had supposed it was no longer pressed. See the same Justice's separate opinion in *International Shoe Co.* v. *Washington,* 326 U. S. 310, 322, making no mention of this issue.

Without pretending to a complete analysis, I find that in at least two cases during this current term the same question was appropriate for consideration, as here. In *Railway Express Agency* v. *New York,* 336 U. S. 106, a corporation claimed to be deprived of both due process and equal protection of the law, and in *Ott* v. *Mississippi Barge Line,* 336 U. S. 169, a corporation claimed to be denied due process of law. At prior terms, in many cases the question was also inherent, for corporations made similar claims under the Fourteenth Amendment. See, e. g., *Illinois Central R. Co.* v. *Minnesota,* 309 U. S. 157; *Lincoln Life Insurance Co.* v. *Read,* 325 U. S. 673; *Queenside Hills Co.* v. *Saxl,* 328 U. S. 80. Although the author of the present dissent was the writer of each of the cited Court's opinions, it was not intimated therein that there was even doubt whether the corporations had standing to raise the questions or were entitled to protection of the Amendment. Instead, in each case the author, as I have done in this case, proceeded to discuss and dispose of the corporation's contentions on their merits, a quite improper procedure, I should think, if the corporation had no standing to raise the constitutional questions. Indeed, if the corporation had no such right, it is difficult to see how this Court would have jurisdiction to consider the case at all.

It may be said that in the foregoing cases other grounds might have been found upon which to defeat the corporations' claims, while in the present case apparently there is none.

However, in at least two cases this Court, joined by both Justices now asserting that corporations have no rights under the Fourteenth Amendment, recently has granted relief to corporations by striking down state action as conflicting with corporate rights under that Amendment. In *Times-Mirror Co.* v. *Superior Court,* companion case to *Bridges* v. *California,* 314 U. S. 252, a newspaper corporation persuaded this Court that a $500 fine assessed against it violated its rights under the Fourteenth Amendment. In *Pennekamp* v. *Florida,* 328 U. S. 331, a newspaper corporation was convicted along with an individual defendant, and this Court set aside the conviction upon the ground that the Fourteenth Amendment prohibited such state action. In neither of these cases was the corporation's right to raise the issue questioned and the result in each case was irreconcilable with the position now asserted in dissent.

It cannot be suggested that in cases where the author is the mere instrument of the Court he must forego expression of his own convictions. Mr. Justice Cardozo taught us how Justices may write for the Court and still reserve their own positions, though overruled. *Helvering* v. *Davis,* 301 U. S. 619, 639.

In view of this record I did not, and still do not, consider it necessary for the Court opinion to review the considerations which justify the assumption that these corporations have standing to raise the issues decided.

MR. JUSTICE DOUGLAS, with whom MR. JUSTICE BLACK concurs, dissenting.

It has been implicit in all of our decisions since 1886 that a corporation is a "person" within the meaning of the Equal Protection Clause of the Fourteenth Amendment. *Santa Clara County* v. *Southern Pac. R. Co.,* 118 U. S. 394, 396, so held. The Court was cryptic in its decision. It was so sure of its ground that it wrote no

opinion on the point, Chief Justice Waite announcing from the bench:

> "The court does not wish to hear argument on the question whether the provision in the Fourteenth Amendment to the Constitution, which forbids a State to deny to any person within its jurisdiction the equal protection of the laws, applies to these corporations. We are all of opinion that it does."

There was no history, logic, or reason given to support that view. Nor was the result so obvious that exposition was unnecessary.

The Fourteenth Amendment became a part of the Constitution in 1868. In 1871 a corporation claimed that Louisiana had imposed on it a tax that violated the Equal Protection Clause of the new Amendment. Mr. Justice Woods (then Circuit Judge) held that "person" as there used did not include a corporation and added, "This construction of the section is strengthened by the history of the submission by congress, and the adoption by the states of the 14th amendment, so fresh in all minds as to need no rehearsal." *Insurance Co.* v. *New Orleans,* 1 Woods 85, 88.

What was obvious to Mr. Justice Woods in 1871 was still plain to the Court in 1873. Mr. Justice Miller in the *Slaughter-House Cases,* 16 Wall. 36, 71, adverted to events "almost too recent to be called history" to show that the purpose of the Amendment was to protect human rights—primarily the rights of a race which had just won its freedom. And as respects the Equal Protection Clause he stated, "The existence of laws in the States where the newly emancipated negroes resided, which discriminated with gross injustice and hardship against them as a class, was the evil to be remedied by this clause, and by it such laws are forbidden." P. 81.

Moreover what was clear to these earlier judges was apparently plain to the people who voted to make the

Fourteenth Amendment a part of our Constitution. For as MR. JUSTICE BLACK pointed out in his dissent in *Connecticut General Co.* v. *Johnson,* 303 U. S. 77, 87, the submission of the Amendment to the people was on the basis that it protected human beings. There was no suggestion in its submission that it was designed to put negroes and corporations into one class and so dilute the police power of the States over corporate affairs. Arthur Twining Hadley once wrote that "The Fourteenth Amendment was framed to protect the negroes from oppression by the whites, not to protect corporations from oppression by the legislature. It is doubtful whether a single one of the members of Congress who voted for it had any idea that it would touch the question of corporate regulation at all." [1]

Both Mr. Justice Woods in *Insurance Co.* v. *New Orleans, supra,* p. 88, and MR. JUSTICE BLACK in his dissent in *Connecticut General Co.* v. *Johnson, supra,* pp. 88–89, have shown how strained a construction it is of the Fourteenth Amendment so to hold. Section 1 of the Amendment provides:

> "All *persons* born or naturalized in the United States, and subject to the jurisdiction thereof, are *citizens* of the United States and of the State wherein they reside. No State shall make or enforce any law which shall abridge the privileges or immunities of *citizens* of the United States; nor shall any State deprive any *person* of life, liberty, or property, without

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[1] The Constitutional Position of Property in America, 64 Independent 834, 836 (1908). He went on to say that the *Dartmouth College* case (4 Wheat. 518) and the construction given the Fourteenth Amendment in the *Santa Clara* case "have had the effect of placing the modern industrial corporation in an almost impregnable constitutional position." *Id.,* p. 836.

As to whether the framers of the Amendment may have had such an undisclosed purpose, see Graham, The "Conspiracy Theory" of the Fourteenth Amendment, 47 Yale L. J. 371.

due process of law; nor deny to any *person* within its jurisdiction the equal protection of the laws." (Italics added.)

"Persons" in the first sentence plainly includes only human beings, for corporations are not "born or naturalized."

Corporations are not "citizens" within the meaning of the first clause of the second sentence. *Western Turf Assn.* v. *Greenberg,* 204 U. S. 359, 363; *Selover, Bates & Co.* v. *Walsh,* 226 U. S. 112, 126.[2]

It has never been held that they are persons whom a State may not deprive of "life" within the meaning of the second clause of the second sentence.

"Liberty" in that clause is "the liberty of natural, not artificial, persons." *Western Turf Assn.* v. *Greenberg, supra,* p. 363.

But "property" as used in that clause has been held to include that of a corporation since 1889 when *Minneapolis & St. L. R. Co.* v. *Beckwith,* 129 U. S. 26, was decided.

It requires distortion to read "person" as meaning one thing, then another within the same clause and from clause to clause. It means, in my opinion, a substantial revision of the Fourteenth Amendment. As to the matter of construction, the sense seems to me to be with Mr. Justice Woods in *Insurance Co.* v. *New Orleans, supra,* p. 88, where he said, "The plain and evident meaning of the section is, that the persons to whom the equal protection of the law is secured are persons born or naturalized or endowed with life and liberty, and consequently natural and not artificial persons."

History has gone the other way. Since 1886 the Court has repeatedly struck down state legislation as applied

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[2] Cf. McGovney, A Supreme Court Fiction, 56 Harv. L. Rev. 853, 1090, 1225, dealing with corporations in the diverse citizenship jurisdiction of the federal courts.

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to corporations on the ground that it violated the Equal Protection Clause.[3] Every one of our decisions upholding legislation as applied to corporations over the objection that it violated the Equal Protection Clause has assumed that they are entitled to the constitutional protection. But in those cases it was not necessary to meet the issue since the state law was not found to contain the elements of discrimination which the Equal Protection Clause condemns. But now that the question is squarely presented I can only conclude that the *Santa Clara* case was wrong and should be overruled.

One hesitates to overrule cases even in the constitutional field that are of an old vintage. But that has never been a deterrent heretofore[4] and should not be now.

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[3] See *Chicago, M. & St. P. R. Co.* v. *Minnesota,* 134 U. S. 418; *Gulf, Colorado & Santa Fé R. Co.* v. *Ellis,* 165 U. S. 150; *Cotting* v. *Kansas City Stockyards Co.,* 183 U. S. 79; *Connolly* v. *Union Sewer Pipe Co.,* 184 U. S. 540; *Southern R. Co.* v. *Greene,* 216 U. S. 400; *Herndon* v. *Chicago, Rock Island & Pac. R. Co.,* 218 U. S. 135; *Roach* v. *Atchison, T. & Santa Fe R. Co.,* 218 U. S. 159; *Atchison, T. & S. F. R. Co.* v. *Vosburg,* 238 U. S. 56; *Gast Realty Co.* v. *Schneider Granite Co.,* 240 U. S. 55; *McFarland* v. *American Sugar Co.,* 241 U. S. 79; *Royster Guano Co.* v. *Virginia,* 253 U. S. 412; *Bethlehem Motors Corp.* v. *Flynt,* 256 U. S. 421; *Kansas City So. R. Co.* v. *Road Imp. Dist. No. 6,* 256 U. S. 658; *C. & N. W. R. Co.* v. *Nye Co.,* 260 U. S. 35; *Sioux City Bridge Co.* v. *Dakota County,* 260 U. S. 441; *Thomas* v. *Kansas City So. R. Co.,* 261 U. S. 481; *Kentucky Co.* v. *Paramount Exch.,* 262 U. S. 544; *Air-Way Corp.* v. *Day,* 266 U. S. 71; *Hanover Ins. Co.* v. *Harding,* 272 U. S. 494; *Power Co.* v. *Saunders,* 274 U. S. 490; *Louisville Gas Co.* v. *Coleman,* 277 U. S. 32; *Quaker City Cab Co.* v. *Penna.,* 277 U. S. 389; *Cumberland Coal Co.* v. *Board,* 284 U. S. 23; *Liggett Co.* v. *Lee,* 288 U. S. 517; *Concordia Ins. Co.* v. *Illinois,* 292 U. S. 535; *Stewart Dry Goods Co.* v. *Lewis,* 294 U. S. 550; *Mayflower Farms* v. *Ten Eyck,* 297 U. S. 266; *Hartford Co.* v. *Harrison,* 301 U. S. 459.

[4] *In re Ayers,* 123 U. S. 443, overruled in part *Osborn* v. *United States Bank,* 9 Wheat. 738, a decision 63 years old; *Leisy* v. *Hardin,* 135 U. S. 100, overruled *Peirce* v. *New Hampshire,* 5 How. 504, a decision 42 years old. *Erie R. Co.* v. *Tompkins,* 304 U. S. 64, over-

We are dealing with a question of vital concern to the people of the nation. It may be most desirable to give corporations this protection from the operation of the legislative process. But that question is not for us. It is for the people. If they want corporations to be treated as humans are treated, if they want to grant corporations this large degree of emancipation from state regulation,[5] they should say so. The Constitution provides a method by which they may do so. We should not do it for them through the guise of interpretation.

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ruled *Swift* v. *Tyson,* 16 Pet. 1, a decision 95 years old; *Graves* v. *N. Y. ex rel. O'Keefe,* 306 U. S. 466, overruled *Collector* v. *Day,* 11 Wall. 113, a decision 68 years old. *United States* v. *Underwriters Assn.,* 322 U. S. 533, overruled in part *Paul* v. *Virginia,* 8 Wall. 168, a decision 75 years old.

[5] The restrictions on state power which are contained in the Commerce Clause and which may prevent the States from burdening interstate commerce (see *Southern Pacific Co.* v. *Arizona,* 325 U. S. 761; *Morgan* v. *Virginia,* 328 U. S. 373) or discriminating against it (see *Nippert* v. *Richmond,* 327 U. S. 416) rise from a different source and are not relevant here.

NATIONAL MUTUAL INSURANCE CO. *v.* TIDEWATER TRANSFER CO., INC.

CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE FOURTH CIRCUIT.

No. 29. Argued November 8, 1948.—Decided June 20, 1949.

The Act of April 20, 1940, c. 117, 54 Stat. 143 (now 28 U. S. C. § 1332), conferred on the federal district courts jurisdiction of civil actions (involving no federal question) between citizens of the District of Columbia and citizens of a State. A District of Columbia corporation instituted in the Federal District Court for Maryland an action against a Virginia corporation, wherein the jurisdiction depended solely on diversity of citizenship. The District Court held the Act unconstitutional and dismissed the complaint. The Court of Appeals affirmed. *Held:* The Act is constitutional and the judgment is reversed. Pp. 583–585, 604.

165 F. 2d 531, reversed.

A District of Columbia corporation sued a Virginia corporation in the Federal District Court for Maryland, the jurisdiction depending solely on diversity of citizenship. The District Court dismissed the complaint. The Court of Appeals affirmed. 165 F. 2d 531. This Court granted certiorari. 333 U. S. 860. *Reversed,* p. 604.

David G. Bress argued the cause for petitioner. With him on the brief were *Alvin L. Newmyer* and *Sheldon E. Bernstein.*

By special leave of Court, *Solicitor General Perlman* argued the cause for the United States, as *amicus curiae,* urging reversal. With him on the brief were *Assistant Attorney General Morison, Arnold Raum, Paul A. Sweeney* and *Harry I. Rand.*

Wendell D. Allen and *Francis B. Burch* argued the cause and filed a brief for respondent.